Turkey's Simsek to emerge stronger from scandal

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【メール原文】

Turkish Finance Minister Mehmet Simsek will likely emerge stronger from an investment-fund scandal, with President Recep Tayyip Erdogan's backing keep||||||||||||||||

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summary

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Turkish Finance Minister Mehmet Simsek will likely emerge stronger from an investment-fund scandal, with President Recep Tayyip Erdogan's backing keeping the market-friendly policy course intact.
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South Africa's rising borrowing costs will squeeze the governing coalition's fiscal space and its leverage over local politics, likely producing more hung councils from 4 November municipal elections.
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In Brazil, bond yields have fallen, equities have rallied, and the real has strengthened as markets increasingly price in a Senator Flavio Bolsonaro victory.
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SpaceX's Starship may ease launch constraints but deepens a bottleneck for satellite rivals, reinforcing countries' push for sovereign launch capability while giving the US a battlefield edge.
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Countries and sectors in this edition of the Daily Brief include the US, Brazil, the Democratic Republic of Congo, Kenya, Pakistan, South Africa, Turkey, defense, and geo-technology.

the top line

Turkey—Finance minister likely to emerge stronger from scandal

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Despite speculation about his future following a $100 billion stock-market selloff tied to an investment-fund scandal, Simsek's position as the figure who has steered Turkey's return to market-friendly economic policy is secure.
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Dogged by weak public approval and business-community criticism, Simsek could emerge from the turmoil strengthened.
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An abrupt policy break is unlikely, with Vice President Cevdet Yilmaz providing an important backstop and Erdogan continuing to back Simsek. The absence of a clean successor works to Simsek's advantage.
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Read more here . Reach out to discuss: mena@eurasiagroup.net

South Africa—Rising borrowing costs heighten municipal challenges for governing coalition

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Higher oil prices and a slow policy response from the South African Reserve Bank (SARB) have led to higher inflation expectations and long-term borrowing costs.
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Rising borrowing costs will narrow the already limited fiscal space available to the national Government of National Unity (GNU), reducing its ability to sustain the financial programs that serve as its primary lever for incentivizing stable municipal governance.
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With the GNU fiscally constrained and unable to overcome local leaders' resistance to power-sharing, the 4 November municipal elections are likely to produce more hung councils and unstable coalitions, eroding business confidence, and weakening major party support ahead of the 2029 national elections.
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Read more here . Reach out to discuss: africa@eurasiagroup.net .

Brazil, Geoeconomics—Chart of the Day

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Reach out to discuss: geoeconomics@eurasiagroup.net .

Geo-technology—Launch emerging as central focus of global space race

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While SpaceX’s Starship launch could improve launch site supply issues, it also intensifies a bottleneck for SpaceX’s satellite competitors.
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Countries will continue efforts to build sovereign satellite capabilities and extend them to launch, given reliance on SpaceX rockets.
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Frontier reusable space vehicle capability will give the US a battlefield advantage, as space-based capabilities have become a critical strategic enabler for US forces.
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Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

upcoming conference calls

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13 October 10:45 AM ET—Brazil update. Register here .

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14 October 10:00 AM ET—Israeli election outlook with Ambassador Daniel Shapiro. Register here .

eg in brief

US—Unified Democratic Congress would slow, not cut, defense spending: If Democrats win unified control of Congress (60% odds) in the midterm elections, they will likely slow, but not reverse, the rapid growth in defense spending of recent years. The need to address weaknesses in the defense industrial base and replenish depleted interceptor stockpiles will create bipartisan support for higher spending, likely leading to defense spending increasing by 3.5% to 5% in nominal terms next year. Democrats would deprioritize the White House's marquee programs, such as the Golden Dome, and would emphasize process improvements at the Pentagon, while Republican and industry lobbies will retain influence even as private capital expands its role in defense. Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Kenya—Fiscal slippage to persist ahead of 2027 election: President William Ruto's bid to win reelection in August 2027 faces difficult electoral arithmetic as support from key voting blocs declines, and the outlook for his alliance partner remains uncertain. To court new support bases, Ruto is expanding unbudgeted development pledges and loosening fiscal policy more broadly, leaving no credible path to this year's 5.5% of GDP deficit target. Budget sessions starting on 9 October will provide an early indication of the likely extent of fiscal slippage ahead of the election, though fiscal consolidation will probably follow after. Read more here . Reach out to discuss: africa@eurasiagroup.net .

Pakistan—Islamabad and Kabul will keep conflict confined to proxies: Kabul and Islamabad will fight their escalating conflict through proxies, as neither side can afford an all-out war. Islamabad appears to be encouraging anti-Taliban attacks and infiltration attempts from Pakistan, including the crossing of more than 100 Islamic State Khorasan Province fighters into Afghanistan in September. Kabul is likely to become more directly involved in violence against Pakistan as suspicions grow that Islamabad is sheltering and funding anti-Taliban groups and turning a blind eye to militants crossing the border. Read more here . Reach out to discuss: southasia@eurasiagroup.net .

Democratic Republic of Congo—Recent measures will likely strengthen local-content enforcement: The DRC's Regulatory Authority for Subcontracting in the Private Sector (ARSP) accused Sino-Congolaise des Mines (Sicomines), a Chinese-Congolese copper and cobalt venture, of violating local-content rules and ordered it to terminate contracts with six subcontractors. The order and similar September measures against other miners will likely strengthen enforcement. Lawmakers amended a 2017 subcontracting law to restrict nominee arrangements, in which Congolese owners fronted for foreign firms. New requirements that miners register contractors with the ARSP and show at least 51% Congolese ownership and management, along with higher penalties, will make the rules harder to circumvent. Few Congolese firms can replace incumbent providers at scale on short notice, so the ARSP will likely allow timeline flexibility where local capacity remains limited, reducing the risk of major production disruptions. As domestic expertise and capital deepen, Kinshasa will likely keep pressing for greater domestic value capture. Read more here . Reach out to discuss: africa@eurasiagroup.net .

Upcoming events:

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9 October: Data: Russia CPI, and US UMich consumer sentiment.

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11 October: Events: WPC Energy Congress begins in Riyadh, through 15 Oct.

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12 October: Events: IMF-World Bank meetings begin in Bangkok, through 18 Oct, the Warsaw Security Forum begins through 13 Oct while EU foreign ministers meet in Luxembourg, Bond markets close in the US for Columbus Day observance; Data: India CPI, Mexico industrial production (IP), and Russia trade.

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13 October: Events: IMF launches World Economic Outlook and OPEC releases its monthly oil report; Data: Argentina CPI, Japan PPI, and US federal budget balance.

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14 October: Events: US Federal Reserve releases Beige Book and IEA releases monthly oil market report; Data: China trade, PPI, and CPI, US CPI.

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15 October: Data: Eurozone, UK and Japan IP, UK GDP, and US retail sales and PPI.

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16 October: Data: Eurozone CPI, US cross-broder investment, IP, and import price index.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

"Starshield has become a vital part of national security,"—Elon Musk said on 11 August at the X Takeover event, an annual global gathering of Tesla and SpaceX enthusiasts.

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